UNITED STATES DISTRICT COURT
FOR THE EASTERN DISTRICT OF PENNSYLVANIA

MARIANNE ANTCZAK, on behalf of herself and other similarly situated persons Plaintiff, vs. TD AMERITRADE CLEARING, INC., TD AMERITRADE, INC., TD AMERITRADE INVESTMENT MANAGEMENT, LLC, ULTIMATE FINANCIAL INVESTMENTS, LLC and BRIDGET A. FERNANDEZ, individually and professionally Defendants.	:	COMPLAINT- CLASS ACTION NO.

COMPLAINT- CLASS ACTION

INTRODUCTION

Plaintiff brings this action on behalf of herself and all others similarly situated to secure redress from Defendants who enabled, facilitated and concealed registered investment advisors ("RIAs") who openly and notoriously pursued wildly unsuitable trading strategies using wildly unsuitable investments causing great loss in funds and securities held in TD Ameritrade brokerage accounts. The RIA/registered principal ("RP") who essentially gambled away most of Plaintiff's retirement funds was Defendant Bridget Fernandez who owned an investment advisor/introducing broker/dealer named Ultimate Financial Investments, LLC.

allowing an introducing broker-dealer named Scout Trading, LLC (referred to herein and in the Wedbush AWC Letter as the "Client Broker-Dealer") to repeatedly violate the rules governing fail-to-deliver activity in order to maximize the number of days the Client Broker-Dealer remained short in certain daily leveraged ETFs to take advantage of the inherent financial benefits of being short versus long daily leveraged ETF shares. Wedbush allowed the Client Broker-Dealer to engage in a cyclical pattern of illegal activity for over two years which permitted the Client Broker-Dealer to profit at the expense of its customers from how poorly daily leveraged ETFs perform. This activity repeatedly raised red flags but Wedbush aided and abetted the Client Broker-Dealer by choosing to ignore them knowing full-well the Client Broker-Dealer was engaging in the activity showing up on its exception reports to illegally profit on daily leveraged ETF transactions. The Client Broker-Dealer would not have been able to make money this way if Wedbush enforced the securities laws and its contractual obligations with the ETF issuer governing fails to deliver. The regular and extensive fails-to-deliver occurring in 14 affected daily leveraged ETFs due to the Client Broker-Dealer's naked redemption activity and trading of daily leveraged ETF shares on the secondary market eventually caught the attention of FINRA's Department of Market Regulation's Short Sale staff which prompted it to open an investigation. FINRA found Wedbush knew of the red flags set off by the Client Broker-Dealer's chronic fails-to-deliver but, just as TD Ameritrade in the instant action, Wedbush took no meaningful action to put a stop to an activity it knew was illegal.

60. The decisions TD Ameritrade made surrounding the termination of UFI's clearing firm agreement were taken to protect the TD Ameritrade Defendants by keeping this matter off the radar of TD Ameritrade's regulators. Had TD Ameritrade informed regulators about UFI and RIA/RP Fernandez or put in writing UFI was terminated "for cause," those same regulators